

ECO101: Principles of Microeconomics
Monopoly
Homework

1. Why is a monopolist considered a “price maker” and not a “price taker”?
2. Explain **how a monopoly determines its profit-maximizing output and price**.
3. List and explain **three main barriers to entry** that allow monopolies to exist, giving examples.
4. What is deadweight loss and why does it occur under monopoly?
5. What is third-degree price discrimination? Give an example.